

GRIFFIN SUBSTITUTE FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2150

I move the following SUBSTITUTE amendment to the NATURAL RESOURCES, ENERGY & WATER
Committee Amendment to
HOUSE BILL 2150 (Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or
previously enacted session law.
[Green underlining in brackets] indicates text added to new session law
or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute
or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute,
previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Title 27, chapter 2, article 3, Arizona Revised
3 Statutes, is amended by adding section 27-240, to read:

4 27-240. Lease of state trust lands; minerals; renewals;
5 indexed royalties

6 [A. NOTWITHSTANDING ANY OTHER LAW, THE STATE LAND COMMISSIONER MAY
7 RENEW AN EXISTING MINERAL OR MINERAL MATERIALS LEASE WITHOUT PUBLIC
8 AUCTION IF THE STATE LAND COMMISSIONER DETERMINES ALL OF THE FOLLOWING:

9 1. THE LESSEE IS IN SUBSTANTIAL COMPLIANCE WITH THE TERMS OF THE
10 LEASE.

11 2. RENEWAL IS IN THE BEST INTEREST OF THE STATE LAND TRUST.

12 3. RENEWAL IS SUPPORTED BY A WRITTEN FINDING BY THE STATE LAND
13 COMMISSIONER THAT THE RENEWAL IS CONSISTENT WITH THE STATE LAND
14 COMMISSIONER'S FIDUCIARY DUTIES.

15 4. THE RENEWAL IS FOR A TERM THAT IS ALLOWED BY THE LAWS OF THIS
16 STATE.

17 B. A LEASE THAT THE STATE LAND COMMISSIONER RENEWS PURSUANT TO THIS
18 SECTION SHALL PROVIDE FOR A ROYALTY RATE THAT IS ADJUSTED PURSUANT TO A
19 MARKET-BASED INDEXING MECHANISM THAT THE STATE LAND COMMISSIONER ADOPTS IN
20 RULE. THE INDEXING MECHANISM MAY INCLUDE ANY OF THE FOLLOWING:

21 1. PRODUCER PRICE INDICES.

22 2. REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES.

23 3. OTHER OBJECTIVE INDICATORS THAT ARE RECOGNIZED BY THE
24 INDUSTRY.]>>

1 <<Sec. 2. Section 37-102, Arizona Revised Statutes, is amended to
2 read:

3 37-102. State land department: powers and duties

4 A. The state land department shall administer all laws relating to
5 lands owned by, belonging to and under the control of this state.

6 B. The department shall have charge and control of all lands owned
7 by this state, and timber, stone, gravel and other products of such lands,
8 except lands under the specific use and control of state institutions and
9 the products of such lands.

10 C. The department, in the name of this state, may commence,
11 prosecute and defend all actions and proceedings to protect the interest
12 of this state in lands within this state or the proceeds of lands within
13 this state. Actions shall be commenced and prosecuted at the request of
14 the department by the attorney general, a county attorney or a special
15 counsel under the direction of the attorney general.

16 D. The department shall be the official representative of this
17 state in any communication between this state and the United States
18 government in all matters respecting state lands or any interest of this
19 state in or to the public lands within this state.

20 E. The summons in any action against this state respecting any
21 lands of this state or the products of such lands and all notices
22 concerning such lands or products shall be served on the commissioner.
23 Summonses, warrants or legal notices served on behalf of the department
24 may be served by the commissioner or the commissioner's deputy~~[,]~~ or by
25 the sheriff or a constable of any county of this state.

26 F. The department shall maintain as a public record in each of the
27 department's offices a public docket and index of all matters before the
28 department that may be subject to appeal to the board of appeals or to the
29 courts and all sale, exchange and lease transactions subject to bidding by
30 the public. The department shall list a matter on the public docket
31 immediately after an application or other request for department action is
32 received by the department. The department shall include in the public
33 docket every formal action and decision affecting each matter in
34 question. The department shall establish by rule a means by which any
35 person may obtain a copy of the public docket at the current copying cost.

36 G. The department shall reappraise or update the department's
37 original appraisal of property to be leased, exchanged or sold if the
38 board of appeals' approval of the lease or sale occurred more than two
39 hundred forty days before the auction.

40 H. To the extent possible, the state land department shall:

41 1. Prepare maps of the ancillary military facilities described in
42 section 28-8461, paragraph 7, subdivisions (b) and (c).

43 2. Make a map of the ancillary military facility described in
44 section 28-8461, paragraph 7, subdivision (a) available to the public in
45 printed or electronic format and provide the map in printed or electronic
46 format to the state real estate department.

1 3. On receipt of proper information from the military installation
2 commander with responsibility for the military electronics range, prepare
3 a map of the military electronics range as defined in section 9-500.28 and
4 make that map available to the public in printed or electronic format and
5 provide the map in printed or electronic format to the state real estate
6 department. Within ninety days after receipt of notice of any change in
7 the boundaries of the military electronics range from the military
8 installation commander, the state land department shall revise its map and
9 provide the map to the public and to the state real estate department.

10 4. On or before December 31, 2024 and on receipt of proper
11 information from the applicable military installation's and range's and
12 Arizona national guard site's commanders, prepare electronic legal
13 descriptions and maps of the military installation and range and Arizona
14 national guard site and their respective influence areas as defined in
15 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
16 maps to the state real estate department and the public. The state land
17 department shall make changes to the boundaries of the military
18 installation and range and [ARIZONA] national guard site and their
19 respective influence areas and provide them to the state real estate
20 department and the public within ninety days after receipt of those
21 changes from the military installation's and range's and Arizona national
22 guard site's commanders.

23 5. RESTRICT THE USE OF A LEASE OR PERMIT HOLDOVER PROVISION TO NOT
24 MORE THAN NINETY DAYS. IF A LEASE IS IN HOLDOVER STATUS AND THE HOLDOVER
25 TENANT SUBMITS A LEASE RENEWAL APPLICATION PURSUANT TO SECTION 37-291 THAT
26 THE DEPARTMENT DOES NOT TAKE ACTION ON WITHIN THE NINETY DAYS AFTER THE
27 LEASE EXPIRES, THE LEASE IS AUTOMATICALLY RENEWED FOR THREE YEARS AND
28 NINETY DAYS AFTER THE DATE OF NATURAL EXPIRATION. A LEASE THAT IS RENEWED
29 PURSUANT TO THIS PARAGRAPH IS DEEMED IN THE BEST INTEREST OF THE STATE
30 TRUST PURSUANT TO SECTION 37-291. IF THE DEPARTMENT TERMINATES A HOLDOVER
31 TENANT'S LEASE, THE DEPARTMENT SHALL PROVIDE IMMEDIATE REIMBURSEMENT FOR
32 THE FAIR MARKET VALUE, AS DETERMINED BY AN INDEPENDENT THIRD-PARTY VENDOR,
33 OF ANY REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE
34 TO THE STATE LAND.

35 6. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:

36 (a) APPROVE ANY IMPROVEMENTS THAT ARE CUSTOMARY IN THE LESSEE'S OR
37 PERMITTEE'S COURSE OF BUSINESS. IF A TENANT SUBMITS AN APPLICATION FOR
38 PERMISSION TO CONSTRUCT OR MAKE AN IMPROVEMENT TO STATE LANDS PURSUANT TO
39 SECTION 37-321 AND THE DEPARTMENT DOES NOT TAKE ACTION ON THE APPLICATION
40 WITHIN NINETY DAYS AFTER RECEIPT, THE APPLICATION IS AUTOMATICALLY
41 APPROVED. AN IMPROVEMENT THAT IS AUTOMATICALLY APPROVED PURSUANT TO THIS
42 SUBDIVISION IS DEEMED IN THE BEST INTEREST OF THE STATE PURSUANT TO
43 SECTION 37-321. ON CONCLUSION OF A LEASE RENEWAL OR SPECIAL LAND USE
44 PERMIT, THE DEPARTMENT SHALL REIMBURSE THE LESSEE OR PERMITTEE FOR THE
45 LESSEE'S OR PERMITTEE'S IMPROVEMENTS ON STATE LANDS WITH MONIES FROM THE
46 STATE LAND TRUST.

1 **(b) NOT LESS THAN SIX MONTHS BEFORE THE EXPIRATION OF A LEASE**
2 **RENEWAL OR SPECIAL LAND USE PERMIT, PROVIDE NOTICE OF EXPIRATION. THE**
3 **NOTICE MUST INCLUDE ALL OF THE FOLLOWING:**

4 **(i) ANY PROPOSED RENTAL INCREASE OR PROPOSED CHANGE TO THE TERMS**
5 **AND CONDITIONS OF THE LEASE RENEWAL OR SPECIAL LAND USE PERMIT.**

6 **(ii) THE INTENT OF THE DEPARTMENT TO RENEW OR TERMINATE THE LEASE**
7 **OR SPECIAL LAND USE PERMIT.**

8 **(iii) THE JUSTIFICATION FOR THE COMMISSIONER'S DECISION, AS**
9 **PRESCRIBED IN SECTION 37-133, TO RENEW OR TERMINATE THE LEASE OR PERMIT.**
10 **IF THE DEPARTMENT DECIDES TO NOT RENEW A LEASE OR ISSUE A SPECIAL LAND USE**
11 **PERMIT, THE DEPARTMENT SHALL INCLUDE A STATEMENT THAT IDENTIFIES THE**
12 **DEPARTMENT'S DETERMINATION OF THE HIGHEST AND THE BEST USE OF THE STATE**
13 **LANDS, SUBJECT TO THE LEASE OR SPECIAL LAND USE PERMIT. IF THE STATE**
14 **LANDS WILL NOT IMMEDIATELY GENERATE REVENUE ON THE EXPIRATION OF THE LEASE**
15 **OR SPECIAL LAND USE PERMIT, THE NOTICE SHALL INCLUDE A STATEMENT**
16 **IDENTIFYING HOW LONG THE DEPARTMENT ESTIMATES THAT THE STATE LANDS WILL**
17 **GENERATE MONIES FOR THE STATE LAND TRUST AND WHY THE DEPARTMENT BELIEVES**
18 **FOREGOING THE MONIES FOR THE ESTIMATED TIME FRAME IS IN THE BEST INTEREST**
19 **OF THE STATE LAND TRUST.**

20 **7. RESTRICT THE USE OF SPECIAL LAND USE PERMITS ONLY TO TEMPORARY**
21 **LAND USES THAT DO NOT HAVE A DEDICATED LAND USE LEASE OR PERMIT.]**

22 I. The state land department shall provide each map and the legal
23 description of the boundaries of each ancillary military facility
24 described in section 28-8461, paragraph 7 in electronic format to the
25 state real estate department. Each map prepared by the state land
26 department pursuant to this section shall:

27 1. Describe the ancillary military facility, the territory in the
28 vicinity of the ancillary military facility and the high noise and
29 accident potential zone, accident potential zone one and accident
30 potential zone two associated with the ancillary military facility.

31 2. Be submitted to the county in which the ancillary military
32 facility is located.

33 3. Be made available to the public.

34 J. The state land department shall prepare a military training
35 route map. The map shall contain military training route numbers in this
36 state that are used by various United States armed forces. The map shall
37 be dated.

38 K. When preparing the military training route map, the state land
39 department shall use information contained in the most current department
40 of defense publication that is entitled "area planning military training
41 routes for North and South America".

42 L. The military training route map shall be made available to the
43 public.

44 M. Within ninety days after the department is notified of a change
45 of a military training route in this state, the department shall prepare a
46 revised military training route map. The map shall be dated and contain a
47 statement that the map supersedes all previously dated maps. The state

1 land department shall send the revised map to the state real estate
2 department electronically and shall also send an accompanying letter
3 specifying the military training route changes. The state land department
4 shall send the revised map and an accompanying letter specifying the
5 military training route changes to the municipalities affected by the
6 changes and to all counties.

7 N. The department shall submit the military training route map
8 prepared pursuant to this section to the counties in either an electronic
9 or a printed format. The format shall be determined by the receiving
10 county.

11 O. The state land department shall provide the legal description of
12 the boundaries of the military training routes as delineated in the
13 military training route map to the state real estate department in
14 electronic format.

15 P. The state land department shall prepare a military restricted
16 airspace map. The map shall contain military restricted airspace in this
17 state that is used by various United States armed forces. The map shall
18 be dated.

19 Q. When preparing the military restricted airspace map, the state
20 land department shall use information contained in the most current
21 department of transportation publication that is entitled "aeronautical
22 chart".

23 R. The military restricted airspace map shall be made available in
24 printed or electronic format to the public at the state land department
25 and at the state real estate department.

26 S. Within ninety days after the department is notified of a change
27 of military restricted airspace in this state, the department shall
28 prepare a revised military restricted airspace map. The map shall be
29 dated and contain a statement that the map supersedes all previously dated
30 maps. The state land department shall send the revised map to the state
31 real estate department electronically and shall also send an accompanying
32 letter specifying the military restricted airspace changes. The state
33 land department shall send the revised map and an accompanying letter
34 specifying the military restricted airspace changes to the municipalities
35 affected by the changes and to all counties.

36 T. The department shall submit the military restricted airspace map
37 prepared pursuant to this section to the counties in either an electronic
38 or a printed format. The format shall be determined by the receiving
39 county.

40 U. The state land department shall provide the legal description of
41 the boundaries of the military restricted airspace as delineated in the
42 military restricted airspace map to the state real estate department in
43 electronic format.

44 V. The department may accept title to and manage real estate,
45 property rights and related infrastructure acquired pursuant to section
46 26-262, subsection K for preserving or enhancing military installations in
47 this state.>>

1 <<Sec. 3. Section 37-132, Arizona Revised Statutes, is amended to
2 read:

3 37-132. Powers and duties

4 A. The commissioner shall:

5 1. Exercise and perform all powers and duties vested in or imposed
6 on the department and prescribe such rules as are necessary to discharge
7 those duties.

8 2. Exercise the powers of surveyor-general except for the powers of
9 the surveyor-general exercised by the state treasurer as a member of the
10 selection board pursuant to section 37-202.

11 3. Make long-range plans for the future use of state lands in
12 cooperation with other state agencies, local planning authorities and
13 political subdivisions.

14 4. Promote the infill and orderly development of state lands in
15 areas beneficial to the trust and prevent urban sprawl or leapfrog
16 development on state lands.

17 5. Classify and appraise all state lands, together with the
18 improvements on state lands, for the purpose of sale, lease or grant of
19 rights-of-way. The commissioner may impose such conditions and covenants
20 and make such reservations in the sale of state lands as the commissioner
21 deems to be in the best interest of the state trust. The provisions of
22 this paragraph are subject to hearing procedures pursuant to title 41,
23 chapter 6, article 10 and, except as provided in section 41-1092.08,
24 subsection H, are subject to judicial review pursuant to title 12, chapter
25 7, article 6.

26 6. Have authority to lease for grazing, agricultural, homesite or
27 other purposes, except commercial, all land owned or held in trust by this
28 state.

29 7. Have authority to lease for commercial purposes and sell all
30 land owned or held in trust by this state, but any such lease for a term
31 longer than ten years for commercial purposes or any such sale shall first
32 be approved by the board of appeals.

33 8. Except as otherwise provided, determine all disputes, grievances
34 or other questions pertaining to the administration of state lands.

35 9. Appoint deputies and other assistants and employees necessary to
36 perform the duties of the department and assign their duties subject to
37 title 41, chapter 4, article 4 and require of them such surety bonds as
38 the commissioner deems proper. The compensation of the deputy, assistants
39 or employees shall be as determined pursuant to section 38-611.

40 10. Make a written report to the governor annually, not later than
41 September 1, disclosing in detail the activities of the department for the
42 preceding fiscal year and publish it for distribution. The report shall
43 include an evaluation of auctions of state land leases held during the
44 preceding fiscal year considering the advantages and disadvantages to the
45 state trust of the existence and exercise of preferred rights to lease
46 reclassified state land.

1 11. Withdraw state land from surface or subsurface sales or lease
2 applications if the commissioner deems it to be in the best interest of
3 the trust. This closure of state lands to new applications for sale or
4 lease does not affect the rights that existing lessees have under law for
5 renewal of their leases and reimbursement for improvements.

6 [12. PROVIDE A QUARTERLY UPDATE OF THE ACTIVITIES OF THE DEPARTMENT
7 AND THE ACTIONS THAT THE DEPARTMENT IS TAKING TO IMPROVE THE INTERNAL AND
8 ADMINISTRATIVE WORKINGS OF THE DEPARTMENT TO THE CHAIRPERSON OF THE HOUSE
9 OF REPRESENTATIVES NATURAL RESOURCES, ENERGY AND WATER COMMITTEE OF
10 REFERENCE, OR ITS SUCCESSOR COMMITTEE OF REFERENCE, AND THE SENATE NATURAL
11 RESOURCES COMMITTEE OF REFERENCE, OR ITS SUCCESSOR COMMITTEE OF
12 REFERENCE.]

13 B. The commissioner may:

14 1. Take evidence relating to, and may require of the various county
15 officers information on, any matter that the commissioner has the power to
16 investigate or determine.

17 2. Under such rules as the commissioner adopts, use private real
18 estate brokers to assist in any sale or long-term lease of state land and
19 pay, from fees collected under section 37-107, subsection B, paragraph 1,
20 a commission to a broker that is licensed pursuant to title 32, chapter 20
21 and that provides the purchaser or lessee at auction. The purchaser or
22 lessee at auction is not eligible to receive a commission pursuant to this
23 paragraph. A commission shall not be paid on a sale or a long-term lease
24 if the purchaser or lessee is a political subdivision of this state.

25 3. Require a permittee, lessee or grantee to post a surety bond or
26 any form of collateral deemed sufficient by the commissioner for
27 performance or restoration purposes. The commissioner shall use the
28 proceeds of a bond or collateral only for the purposes determined at the
29 time the bond or collateral is posted. For agricultural lessees, the
30 commissioner may require collateral as follows:

31 (a) As security for payment of the annual assessments levied by the
32 irrigation district in which the state land is located if the lessee has a
33 history of late payments or defaults. The amount of the collateral
34 required may not exceed the annual assessment levied by the irrigation
35 district.

36 (b) As security for payment of rent, if an extension of time for
37 payment is requested or if the lessee has a history of late payments of
38 rent. The collateral shall be submitted at the time any extension of time
39 for payment is requested. The amount of the collateral required may not
40 exceed the annual amount of rent for the land.

41 (c) A surety bond shall be required only if the commissioner
42 determines that other forms of collateral are insufficient.

43 4. Withhold market and economic analyses, preliminary engineering,
44 site and area studies and appraisals that are collected during the urban
45 planning process from public viewing before they are submitted to local
46 planning and zoning authorities.

1 5. Withhold from public inspection proprietary information received
2 during lease negotiations. The proprietary information shall be released
3 to public inspection unless the release may harm the competitive position
4 of the applicant and the information could not have been obtained by other
5 legitimate means.

6 6. Issue permits for short-term use of state land for specific
7 purposes as prescribed by rule.

8 7. Contract with a third party to sell recreational permits. A
9 third party under contract pursuant to this paragraph may assess a
10 surcharge for its services as provided in the contract, in addition to the
11 fees prescribed pursuant to section 37-107.

12 8. Close urban lands to specific uses as prescribed by rule if
13 necessary for dust abatement, to reduce a risk from hazardous
14 environmental conditions that pose a risk to human health or safety or for
15 remediation purposes.

16 9. Notwithstanding subsection A, paragraph 4 of this section,
17 authorize, in the best interest of the trust, the extension of public
18 services and facilities either:

19 (a) That are necessary to implement plans of the local governing
20 body, including plans adopted or amended pursuant to section 9-461.06 or
21 11-805.

22 (b) Across state lands that are either:

23 (i) Classified as suitable for conservation purposes pursuant to
24 section 37-312.

25 (ii) Sold or leased at auction for conservation purposes.

26 10. Contract with a qualified third-party reviewer that is selected
27 by the commissioner to review any application submitted to the department
28 if the commissioner determines that the department will not be able to
29 take action on the application within sixty working days after the
30 application is submitted to the department. A third-party reviewer that
31 reviews an application pursuant to this paragraph shall do both of the
32 following:

33 (a) Review the application and take all other related actions in
34 accordance with all requirements that are adopted by the department.

35 (b) Notify the department and the applicant of the findings of the
36 review.

37 C. The commissioner or any deputy or employee of the department may
38 not have, own or acquire, directly or indirectly, any state lands or the
39 products on any state lands, any interest in or to such lands or products,
40 or improvements on leased state lands, or be interested in any state
41 irrigation project affecting state lands.>>

1 <<Sec. 4. Section 37-331.03, Arizona Revised Statutes, is amended
2 to read:

3 37-331.03. Conceptual land use plans: five year disposition
4 plans; definitions

5 A. The commissioner shall create [AND APPROVE] conceptual land use
6 plans for all urban state trust land in this state and other state trust
7 lands the commissioner considers to be appropriate. The commissioner
8 shall:

9 1. Prioritize the creation of conceptual [LAND USE] plans to the
10 extent possible to:

11 (a) Correlate with the rate of population growth in the urban areas
12 in this state.

13 (b) Coincide with the production of municipal general plans under
14 title 9, chapter 4, article 6 and county plans under title 11, chapter 6,
15 article 1.

16 2. Revise and update each [CONCEPTUAL LAND USE] plan at least every
17 ten years. [THE COMMISSIONER SHALL ISSUE A WRITTEN ORDER APPROVING EACH
18 CONCEPTUAL LAND USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION.]

19 3. Consult with the city, town or county in which the land is
20 located and with any regional planning organization regarding integrating
21 the conceptual [LAND USE] plan into the general land use plan of the city,
22 town or county.

23 4. [Submit] [POST] each [CONCEPTUAL LAND USE] plan~~[,]~~ and revision
24 of ~~[the] [A CONCEPTUAL LAND USE] plan[, to the urban land planning~~
25 ~~oversight committee for review]~~ [AND THE COMMISSIONER'S WRITTEN APPROVAL
26 OF EACH CONCEPTUAL LAND USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION ON
27 THE DEPARTMENT'S WEBSITE].

28 B. On approval of the conceptual land use plan by the commissioner
29 under this section, the conceptual [LAND USE] plan is ~~[considered to be]~~ a
30 state general plan for [THE] purposes of this article.

31 C. The commissioner may create the conceptual land use plans under
32 subsection A of this section by any of the following methods:

33 1. Using department staff or private consultants.

34 2. Entering into participation contracts pursuant to section
35 37-239.

36 3. Issuing planning permits for urban lands pursuant to section
37 37-338.

38 4. Entering into planning contracts for urban lands or other state
39 trust lands the commissioner considers to be appropriate, including
40 compensation as provided by section 37-338, subsection D.

41 [D. ON THE COMMISSIONER'S APPROVAL OF A CONCEPTUAL LAND USE PLAN,
42 THE CONCEPTUAL LAND USE PLAN:

43 1. IS THE CONTROLLING LAND USE DESIGNATION FOR STATE LANDS.

44 2. SUPERSEDES ANY CONFLICTING COUNTY OR MUNICIPAL ZONING.]

45 ~~[D.] [E.]~~ The commissioner shall create [A] five year disposition
46 ~~[plans] [PLAN]~~ for all state trust land in [EACH COUNTY IN] this state,
47 based at a minimum on market demand, anticipated transportation and

1 infrastructure availability. The commissioner shall [DO ALL OF THE
2 FOLLOWING]:

3 1. Review and update each [FIVE YEAR DISPOSITION] plan [FOR EACH
4 COUNTY] each year as [may be] necessary.

5 2. Consult with the city, town or county in which the land is
6 located and with any regional planning organization.

7 3. [Submit] [POST] each [FIVE YEAR DISPOSITION] plan [and] [., EACH
8 FIVE YEAR DISPOSITION PLAN] revision [to the urban land planning oversight
9 committee] [AND EACH WRITTEN ORDER THAT ADOPTS OR APPROVES A FIVE YEAR
10 DISPOSITION PLAN OR FIVE YEAR DISPOSITION PLAN REVISION AVAILABLE ON THE
11 DEPARTMENT'S WEBSITE] to ensure conformity with the conceptual [LAND USE]
12 plan under subsection A [OF THIS SECTION].

13 [4. ENSURE THAT EACH FIVE YEAR DISPOSITION PLAN AND FIVE YEAR
14 DISPOSITION PLAN REVISION CONFORMS WITH THE CONCEPTUAL LAND USE PLAN.

15 5. ISSUE A WRITTEN ORDER THAT APPROVES AND ADOPTS EACH FIVE YEAR
16 DISPOSITION PLAN AND FIVE YEAR DISPOSITION PLAN REVISION.]

17 [F.] [F.] For the purposes of this section:

18 1. "Conceptual land use plan" means a plan that is developed for
19 urban state trust land and other state trust lands the commissioner
20 considers to be appropriate and that identifies:

21 (a) Appropriate land uses, including commercial, industrial,
22 residential and open space uses.

23 (b) Transportation corridors and infrastructure requirements.

24 (c) All natural and artificial constraints and opportunities
25 associated with the land.

26 2. "Five year disposition plan" means a plan that identifies the
27 land projected to be sold, leased, reclassified for conservation purposes,
28 master planned or zoned during the next five years.>>

29 Sec. 5. Repeal

30 Section 41-3026.05, Arizona Revised Statutes, is repealed.

31 Sec. 6. Title 41, chapter 27, article 2, Arizona Revised Statutes,
32 is amended by adding section 41-3030.19, to read:

33 41-3030.19. State land department; termination July 1, 2030

34 A. THE STATE LAND DEPARTMENT TERMINATES ON JULY 1, 2030.

35 B. TITLE 37, CHAPTERS 1 AND 2 AND THIS SECTION ARE REPEALED ON
36 JANUARY 1, 2031.

37 <<Sec. 7. Public hearing; notification; committees of
38 reference; state land department's strategic
39 plan; delayed repeal

40 [A. On or before April 1, 2028, the auditor general shall notify
41 the state land department and the chairpersons of the senate natural
42 resources committee of reference and the house of representatives natural
43 resources, energy and water committee of reference, or their successor
44 committees of reference, of the requirement to hold a public hearing as
45 prescribed in subsection B of this section.

1 B. On or before July 1, 2028, the senate natural resources
2 committee of reference and the house of representatives natural resources,
3 energy and water committee of reference, or their successor committees of
4 reference, shall hold a public hearing during which the state land
5 department shall provide an update regarding the state land department's
6 strategic plan.

7 C. This section is repealed from and after December 31, 2028.]]>>

8 <<Sec. 8. Five year disposition plans; conceptual land use
9 plan; requirements; delayed repeal

10 [A. Within two years after the effective date of this section, the
11 state land commissioner shall:

12 1. Complete the five year disposition plans for state trust lands
13 and update the conceptual land use plan for state lands pursuant to
14 section 37-331.03, subsection E, Arizona Revised Statutes, as amended by
15 this act.

16 2. Adopt written policies and procedures for updating:

17 (a) The five year disposition plan every five years.

18 (b) The conceptual land use plan every ten years.

19 3. Adopt written policies and procedures on how the state land
20 department will use the five year disposition plans and the conceptual
21 land use plan for determining whether state trust lands are or will be
22 sent to public auction.

23 4. Provide a copy of the five year disposition plans and the
24 conceptual land use plan and the policies and procedures adopted pursuant
25 to this section to the president of the senate and the speaker of the
26 house of representatives.

27 B. This section is repealed from and after June 30, 2029.]]>>

28 <<Sec. 9. Legislative findings

29 [The legislature finds that:

30 1. According to the auditor general's performance audit and sunset
31 review of the state land department completed on July 9, 2025, the state
32 land department has failed to develop the statutorily required five year
33 disposition plans since 2016.

34 2. According to the auditor general's performance audit and sunset
35 review, all five members of the urban land planning oversight committee
36 have been vacant since at least 2018.

37 3. Pursuant to section 37-331.02, Arizona Revised Statutes, and
38 section 37-331.03, Arizona Revised Statutes, as amended by this act, the
39 urban land planning oversight committee serves in an advisory role only
40 and is not required for the commissioner to fulfill the commissioner's
41 obligations to create a five year disposition plan pursuant to statute.

42 4. The fact that the governor has not appointed any members to the
43 urban land planning oversight committee has not absolved the commissioner
44 of the commissioner's obligations to create a five year disposition plan
45 as prescribed in section 37-331.03, Arizona Revised Statutes, as amended
46 by this act.

1 5. The creation of a five year disposition plan is necessary for
2 housing affordability and to ensure the highest and best use of the land
3 for the beneficiaries of the trust.]>>

4 Sec. 10. Purpose

5 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
6 the legislature continues the state land department to have charge of and
7 control over all lands owned by this state, except lands under the
8 specific use and control of state institutions, and the resources in and
9 on those lands and to regulate the use of and access to those lands and
10 resources as prescribed by the enabling act, the Constitution of Arizona
11 and state law and to perform such other functions as prescribed by law.

12 Sec. 11. Retroactivity

13 Sections [~~1~~] [5] and [~~2~~] [6] of this act apply retroactively to from
14 and after July 1, 2026.

15 Enroll and engross to conform

16 Amend title to conform

GAIL GRIFFIN

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02/18/2026

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